

HEDGEYE DAILY DIGEST

Friday, August 14, 2026 · Reader timezone GMT+8

Hedgeye is unwinding its defensive **#Quad4** posture and leaning into the coming **#Quad1** (September), with **#Quad2** behind it in October. The tell is breadth — the **Russell 2000 printed an all-time high**, 8 of 11 sectors are green, and the **VIX is pressing six-month lows**. Two cross-asset threads now anchor the book: a **yield-curve steepener** (10s–2s at a new cycle high near **+50bps**) and an emerging **short-U.S.-dollar** theme paired with long EM, gold, and the yen. The day's flagship *Early Look*, by ADDS PM **Brooks Cutright**, reframes it around “compulsory flows” — forced, calendar-driven capital that must move once uncertainty resolves — flagging the **September 4 S&P 500 reconstitution** as the next big event.

Today's Publications — August 14 (GMT+8)

SIGNAL STRENGTH STOCKS — 76 Stocks (3 Added, 3 Removed)

Signal Strength Stocks · 08/13 3:29 PM EDT

The afternoon refresh of Hedgeye's momentum screen held the universe at **76 names**. Added: **Trane Technologies (TT)**, **Take-Two Interactive (TTWO)**, and **RadNet (RDNT)** — extending the industrial / consumer-discretionary / healthcare breadth theme. Removed: **Exxon Mobil (XOM)**, **The RealReal (REAL)**, and **Global Ship Lease (GSL)**, with the XOM drop consistent with energy weakness as **WTI crude broke TREND**.

The screen is a signal-strength dashboard, not a model portfolio, but the net churn (flat count, energy out / industrials in) reinforces the rotation toward the **Quad1 leadership** cohort of small-caps, cyclicals, and select growth.

ETF PRO PLUS — UPDATE: 4 New ETF Pro Changes

ETF Pro Plus · 08/13 2:16 PM EDT

A real-time ETF Pro Plus update made four changes. Hedgeye **added a long in Timber & Forestry (WOOD)** — a reflationary, weak-dollar-levered cyclical that fits the Quad1 tilt. It **removed two longs: Real Estate (XLRE)** at a **44.06–46.1** range and **US Insurance (IAK)** at **144.0–153.0** — both signaling a broken TRADE/TREND (notably, the morning *Early Look* still carried XLRE bullish, making this a same-day downgrade as REITs stayed the book's weakest U.S. equity sleeve).

It also **removed a short in Roundhill Memory (DRAM)** at **44.65–56.52**, consistent with Keith McCullough's move to cover semiconductor-adjacent shorts and shift the group to “wait and watch.” Net message: prune the laggard defensives, add the reflation cyclical, stop fighting improving momentum.

Yesterday's Publications — August 13 (GMT+8)

EARLY LOOK — “Play The Hand You're Dealt”

Early Look · 08/13 7:17 AM EDT · by Brooks Cutright, PM (ADDs)

What: A guest Early Look built around Claude Shannon's line that “information is the resolution of uncertainty.” The thesis: markets obsess over what investors *might* do and ignore what enormous pools of capital *must* do — what Cutright calls “**compulsory flows**.”

Why: He layers Hedgeye's hierarchy — **Quads** (forecast), **Trend** (current conditions), and **compulsory flows** (forced execution) — arguing the best setups appear when all three align. Index reconstitution is the cleanest case: roughly **\$11 trillion** is indexed to the S&P 500, so tracking capital must adjust on the effective date regardless of valuation. The edge is *lag* — on Hedgeye's screens **~3% of every S&P 500 dollar** sits in **~125 companies** too small to qualify under today's rules.

Who: Brooks Cutright (ADDs); nods to Shannon, John Kelly (Kelly criterion) and Ed Thorp; July's forced unwind at AI fund **Situational Awareness** (which sold most of its public book to **Citadel**) as a live compulsory-flow example.

Key numbers: **\$11T** indexed to SPX; **~10 companies** clear every published admission threshold ahead of the **September 4** announcement; the monthly model has **September in Quad 1** and **October in Quad 2**.

Takeaway: September sets up as a key index-event opportunity — a favorable Quad1 forecast plus a scheduled reconstitution where trillions must follow the committee's answer once it prints. Play the hand you're dealt.

Risk Range™ Signals (as published in the Early Look):

Asset	Risk Range™	TREND
10-Year UST Yield (UST10Y)	4.61 – 4.74	Bullish
High Yield (HYG)	79.19 – 79.81	Bullish
Investment Grade Corp (LQD)	105.5 – 107.0	Bearish
S&P 500 (SPX)	7576 – 7884	Bullish
NASDAQ Composite (COMPQ)	25533 – 27120	Bullish
Russell 2000 (RUT)	2980 – 3083	Bullish
Health Care (XLV)	163 – 171	Bullish
Equal-Weight S&P 500 (RSP)	217.00 – 224.00	Bullish
Real Estate (XLRE)	44.00 – 45.75	Bullish
Volatility Index (VIX)	14.06 – 16.94	Bearish
U.S. Dollar Index (USD)	99.40 – 100.23	Bearish
WTI Crude Oil (WTIC)	73.54 – 84.67	Bearish
Natural Gas (NATGAS)	2.57 – 2.86	Bearish
Gold (Spot)	4189 – 4545	Bullish
Copper (Spot)	6.40 – 6.80	Bullish
Silver (Spot)	58 – 68	Neutral

FROM THE DESK — KM's Top 3 Things (Rates / KOSPI / Volatility)

From The Desk · 08/13 7:05 AM EDT · Keith McCullough

Rates: Inflation Nowcast signals July slowing; **2yr TRADE resistance 4.24%** and the **10s–2s curve steepened +50bps** to a new cycle high post-Quad4. Still long IVOL as a steepener, plus **CLOZ** and **VCSH**.

KOSPI: KM covered his **EWY (South Korea) short** into the high-beta rebound. KOSPI **+3.6% overnight to 6813** (crash now **-25%** from its “Mother of All Bubbles” peak), just inside TRADE Signal **6851** and well below TREND **7204**.

Volatility: A broadening bull with the Russell at all-time highs; **VIX signaling lower-lows**, the **MOVE Index broke TREND** on CPI, and #NazVol eyeing the “Investable Bucket.” Long 13 different U.S. equity ETFs.

Takeaway: Steepener stays core; cover shorts into momentum but don't chase new longs; the Quad shift is broadening the U.S. equity bull. SPX Risk Range **7576–7884**; UST 10yr **4.61–4.74%**.

MOMENTUM STOCK TRACKER — Mag7 (-0.4%), MSFT/AMZN/NVDA=Bullish, ORCL +5.4%

Momentum Stock Tracker · 08/13 8:29 AM EDT · Christian Drake / Ryan Ricci

The daily MOMO dashboard shows the **Mag7 basket -0.4%** on the session, but **MSFT, AMZN, and NVDA all screen BULLISH**. Oracle (**ORCL**) ripped **+5.4%** into its “outbucket” (upper-range / overbought territory).

Takeaway: Mega-cap tech leadership is intact but selective — the strongest signals sit with MSFT/AMZN/NVDA, while ORCL's surge into the top of its range is a spot to fade rather than chase. Consistent with breadth broadening beyond the Mag7.

THE MACRO SHOW — Summary Notes & Replay | Thursday, Aug 13

The Macro Show · 08/13 10:45 AM EDT · Keith McCullough & Matt Cooper

Bullish mentions: IVOL, CLOZ, VCSH, RSP, Viking (VIK), Norwegian Cruise (NCLH), New Zealand (ENZL), Philippines (EPHE), Euro (FXE), Japanese Yen, Ethereum (ETH), Gold, Colombia (COLO). **Bearish:** U.S. Dollar and long-end Treasuries.

Rates / steepener: Post-CPI the 2yr broke down while the 10yr stayed pinned, pushing 10s–2s to a new cycle high (~**+50bps**); 2yr **4.24%**, 10yr still “Goldilocks” below the prior cycle high of **4.79%**. Shorting the long end on the bounce (MOVE broke TREND; sub-75 = bearish bond vol).

Quad shift / risk re-expansion: The asset-allocation book was cut to ~**20–21 positions** into Quad4 and is now back to **28 of 30** allocations; shorts taken to zero. Long small-cap dividends and equal-weight (RSP) over cap-weight SPX, expecting a further shift into **Quad1** as September inflation decelerates.

KOSPI / semis: EWY short covered (not a new long); semis neutral with **no DRAM/semi short** — a close above **6,851** returns positive TRADE, still below TREND at **7,204**. **Cruises / oil:** Bought **VIK and NCLH** again as **oil broke TREND** (VIK reports next week).

Short dollar / long EM: The **short-dollar** signal is now a central cross-asset driver; long EM but explicitly “**do not be long China**” — reallocating between New Zealand and the Philippines; added **long yen** (a rare buy) and long **euro**.

Gold / Colombia / ETH: **Rebuilding gold** toward the 3% minimum (was cut to ~1% when TREND turned bearish), the first asset to buy on dips given the bearish dollar; **Colombia trimmed** to ~2% after becoming “grossly overbought”; long **ETH** on a “short leash” — needs to hold **1,850** (TREND **1,917**) or exit.

Takeaway: The defining move is rapid re-expansion out of Quad4 toward Quad1 — shorts eliminated, allocations back to 28/30, capital deployed across U.S. breadth, EM, currencies and gold — while the rates book stays positioned for steepening and the short dollar becomes the central macro theme.

CAPITAL ALLOCATION PRO — Daily Dashboard | Model Portfolios

Capital Allocation Pro · 08/13 8:22 AM EDT · McGroarty / Nanai / Salem

The daily Model Portfolio dashboard from Hedgeye Asset Management. Model Portfolio changes this cycle went into effect using **closing prices on Monday, August 10th, 2026**. Trend and Tail levels for the **68 ETFs** were refreshed on the standard 3–4 week cycle (last update using **July 31** closes).

Takeaway: No emergency signal today — the model-portfolio machinery is running its scheduled cadence (“pull vs. push”), consistent with the broader re-expand-into-Quad1 positioning rather than a reactive shift.

SIGNAL STRENGTH STOCKS — 76 Stocks (9 Added, 5 Removed)

Signal Strength Stocks · 08/12 12:00 PM EDT (→ midnight Aug 13 GMT+8)

The prior screen expanded the universe to **76 names** with heavy churn. **Added:** MSFT, EFX, TWLO, ABNB, FWNK, RH, SHOP, PLTR, AWI. **Removed:** AFRM, PINS, ETSY, CHWY, UL.

Takeaway: Additions skew toward large-cap growth and quality cyclicals gaining momentum (Microsoft, Equifax, Twilio, Airbnb, Formula One, RH, Shopify, Palantir, Armstrong World); removals lean defensive/consumer laggards (Unilever) and busted-growth (Affirm, Etsy, Chewy) — the same breadth-broadening rotation confirmed the next day.

BITCOIN TREND TRACKER — Crypto Quant | BTC (+0.0%), ETH (+0.0%)

Bitcoin Trend Tracker · 08/13 9:01 AM EDT · Drake / Steiner / Cooper

The daily Crypto Quant dashboard on flows, on-chain data and the crypto Quad framework. **BTC and ETH both flat (+0.0%)** on the reference window — a “**spot stalemate**” with ETF inflows reduced to a **trickle** and selling pressure characterized as “**(almost) seller exhaustion.**” Hedgeye flagged its **3Q26 Macro Themes mid-quarter update call at 11AM EST**.

Takeaway: Crypto is coiling — no directional break, thinning ETF demand offset by fading sellers. Consistent with the Macro Show’s “ETH long on a short leash” (hold 1,850 / TREND 1,917).

DIGITAL ASSETS — Miner Weekly Performance Monitor

Digital Assets · 08/13 7:18 AM EDT

The weekly performance monitor tracking Bitcoin-mining equities — a niche dashboard for Digital Assets Pro subscribers.

Takeaway: A sector-monitoring tool rather than a new call; relevant for tracking miner relative performance against a flat BTC tape.

Sources: Hedgeye Risk Management research (app.hedgeye.com). Summaries are written in-house and are not investment advice.